DTCC

OBLIGATION WAREHOUSE

BEST PRACTICES

AUGUST 23, 2018



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The SIFMA SOS Obligation Warehouse Best Practices Committee met regularly to discuss and formulate a list of best practices to apply when using the Obligation Warehouse product.

Prime Broker

As a best practice the industry has decided to submit prime broker items to Obligation Warehouse after a fail has occurred. Obligation Warehouse provides for a window of opportunity on the afternoon, 13:00-17:00 (1:00 P.M. - 5 P.M.) Eastern Time, of trade date + two days to match prime broker trades, which could then be sent to CNS. However, if a prime broker submission remains uncompared after settlement date, the item remains as uncompared until matched or canceled from Obligation Warehouse.

Prime broker submissions in the Obligation Warehouse system, can clean up, whether uncompared or compared, if a delivery through DTC Settlement has been Made delivery and carried the OW ID/OW Control Number. The Made delivery notifies Obligation Warehouse and automatically closes the obligation. If a prime broker submission is uncompared and a full delivery notification (away from DTC Settlement) is accepted by the contra, the uncompared obligation closes. If the prime broker obligation is compared (matched), additional actions including delivery notifications (away from DTC Settlement) and cancels, require bilateral agreement.

When a prime broker obligation was previously closed due to delivery (either in part or full) a delivery reclaim through the DTC Settlement is communicated to Obligation Warehouse to reopen the obligation to the previous status of open (compared) or uncompared, whichever is applicable.

RVP/DVP

Customer trades should not be submitted to Obligation Warehouse. If a comparison request is received that you know as customer, the obligation should be DK'ed on T+ 1, but no later than T+2.

Ex-Clearing Broker-to-Broker Trades

Ex-clearing broker-to-broker bilateral submissions for comparison (101 Confirmations) should be entered on Trade Date, no later than 6:30 (A.M.) Eastern Time on TD +1 as a best practice. Member bilateral submissions can be identified by the Source code of PART.

Ex-clearing submissions for comparison should populate the MPID fields for both the major and minor executing firms.

Broker-to-Broker Cash Trades

Cash trades, where the processing and trade dates are equal to settlement date, are not accepted in the Obligation Warehouse system. Excluding cash trades conflicts with FINRA Rule 11210(a)(2), and the exchange of comparisons is still being required. Cash trades must be entered into Obligation Warehouse the following day after settlement failure (SD +1).

RTTM Comparison Only Submissions

Trades submitted to RTTM for Comparison Only should not be submitted to Obligation Warehouse until they have failed settlement. In the event that a Comparison Only submission has been input to Obligation Warehouse, the contra receiving the Comparison Advisory should DK the Comparison request using the reason code: We know as Comparison Only.

On SD+ 1 failed Comparison Only submissions from RTTM can be sent to Obligation Warehouse for matching and tracking.

ACATS Submissions

Members should not submit non-CNS ACATS entries directly to Obligation Warehouse. The non-CNS ACATS receive and deliver instructions are automatically loaded to Obligation Warehouse on SD–2, or SD–1 in the event of non-standard settlement.

NSCC Balance Order Submissions

NSCC automatically adds the eligible NSCC Balance Orders, both netted and trade for trade, to Obligation Warehouse after the issuance of each Consolidated Trade Summary (CTS). Members should not enter balance order obligations into Obligation Warehouse directly as they result in duplicate entries.

Corporate Action Events

An obligation in the Obligation Warehouse system that is undergoing a corporate action event (outside of the Obligation Warehouse automation) should be identified as Delivered and the Participant Notes field populated with the appropriate event code. The best practice is to mark these items as Delivered, not canceled, until the Closed business event is added to Obligation Warehouse.

Note

The Delivered business event requires the bilateral agreement of the contra-side. The attempt to close-out the obligation for the corporate action event should begin on allocation date and be completed no later than effective date. It is also preferable to simultaneously set up the new obligation upon closure and reference the previous obligation in the Participant Notes field.

Disincentive Fees

Clients should regularly review outstanding Obligation Warehouse tasks and take appropriate action in a timely manner. In the Obligation Warehouse Web product, review the Home and Exception Status pages to manage obligations within the allotted time frame. Keep in mind that disincentive fees are imposed if participants do not take action within the required time period.

The following table shows the advisories that require action to avoid incurring **daily disincentive charges**:

Notification	Days Before Disincentive Charge	Fee ID
Cancel Advisory	Aged **two days** or more.	2548
Comparison Advisory	Aged **five days** or more.	2541
Delivery Advisory	Aged **two days** or more.	2547

Obligation Warehouse billing information is available in the Pass-Through and Other Fees section of the **Guide to the NSCC Fee Schedule** available in the Electronic Document Library - Fee Guides section.

FOR MORE INFORMATION

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